Our Ref : 07591/2021/0000266
Date : 22nd November 2021

PRIVATE & CONFIDENTIAL

S[redacted] IC: 92[redacted]
Rumah Balie, Nanga Mutok, Layar
95700 Betong, Sarawak.

AND

B[redacted] (NRIC[redacted])
Rumah Balie, Nanga Mutok, Layar
95700 Betong, Sarawak.

T/A S[redacted] No.: G[redacted]099)
PIBU Betong, Tingkat 1, Sublot No. 39,
Bandar Baru Betong
95700 Betong, Sarawak.

Dear Sir/Madam,

RE: LETTER OF OFFER CUM AGREEMENT FOR TARGETED RELIEF AND RECOVERY FACILITY IN THE AMOUNT OF RM75,000.00
CUSTOMER: SY[redacted]

We are pleased to inform that Bank Pertanian Malaysia Berhad (**200801010522** (811810-U)) ("the Bank") has approved your application for the facility abovementioned ("the Facility") and hereby has agreed to offer the Facility to the Customer subject to the following terms and conditions:-

1. FACILITY : (a) Term Financing-i under *Tawarruq* Transaction

(b) Source of Fund: Targeted Relief and Recovery Facility

2. SHARIAH CONTRACT : *Tawarruq* means an arrangement that consists of two (2) sale and purchase contracts. The first contract involves the sale of an asset a seller to a purchaser on a deferred payment basis. Subsequently, the purchaser of the first sale will sell the same asset to a third party on a cash and spot basis.

Implementation procedure of *Tawarruq* transaction is as stated in Schedule 2 of this Letter of Offer Cum Agreement.

3. FACILITY AMOUNT : An amount not exceeding **Ringgit Malaysia Seventy FiveThousand (RM75,000.00) only.**

Note: The Facility Amount is equivalent to Commodity Purchase Price.

4. SALE PRICE : Ringgit Malaysia **One Hundred Six Thousand Forty Eight and Cents Fifty Six (RM106,048.56) Only.**

The Sale Price consists of the price at which the Bank sells the Commodity to the Customer inclusive of profit which is calculated based on the Ceiling Profit Rate (CPR) of **9.50%** per annum.

The CPR is determined based on Base Financing Rate (BFR) + 4% per annum or 10% per annum, whichever is higher. Presently the Bank's BFR is **5.50%** per annum.

BFR referred to in this Letter of Offer Cum Agreement shall mean the rate of profit per annum from time to time stipulated by the Bank as its base financing rate or, if the term BFR is no longer used or applicable, such rate of profit by whatsoever name called as representing the rate of profit quoted by the Bank for its Customer.

5. FACILITY TENURE : A period of **Eighty Four (84)** Months which shall be inclusive of a moratorium **of Six (6)** Months and shall be calculated from the date of first disbursement of the Facility.

6. AVAILABILITY/ UTILIZATION PERIOD : The first disbursement of the Facility shall be made within **six (6) months** from the date of perfection of the Security Documents or such further period as the Bank may prescribe. The Bank shall be at liberty to withdraw the Facility or to vary the terms of the Facility if the first disbursement of Facility is not disbursed within the above stated period. The Bank shall provide a twenty-one (21) days' notice to the Customer in the event of a variation of the terms of the Facility. The Customer shall reimburse the Bank for all costs, fees and expenses incurred by the Bank for doing so.

7. PAYMENT :

Month	Instalment
1st – 6th	***"Moratorium"***
7th - 83th	**RM1,093.00**
84th	**RM1,114.60 and/or any balance thereof.**

(a) The instalment is calculated based on Effective Profit Rate (EPR) of 3.50% per annum (inclusive of guarantee fee).

(b) The instalment shall include the Bank's profit and shall commence on or before the first (1st) day of the following month after the date of the first disbursement of the Facility amount until full and final settlement of the Sale Price and all other monies due in respect of the Facility.

(c) The Bank shall give a monthly rebate which represents the difference between the CPR and EPR. However, the total rebate will only be accumulated and provided to the Customer upon full settlement of the Facility"

8. PURPOSE : (a) For working capital

(b) The breakdown of the Bank's financing under the Facility is as stated in the Schedule 1 herein.

9. (a) SECURITY :
1. 90% guarantee by SJPP/CGC at RM67,500.00
2. Joint and severally guarantee by all partners.

(b) SECURITY PARTY :
1. Sylvester Ezekley Anak Balie (NRIC: 920623-13-5203)
2. Balie Anak Empading (NRIC: 601228-13-5707)

(c) SECURITY DOCUMENT :
1. Letter of Offer cum Agreement.
2. Guarantee And Indemnity Agreements

10. SECURITY DEPOSIT : **Not Applicable**

11. FEES : (a) Brokerage Fee – RM7.00 for every RM1,000,000.00 of the Facility or any other price as set out by the Commodity supplier.

The brokerage fee formula shall be as follows:-

$$\frac{\text{RM7}}{\text{RM1,000,000}} \times \text{Financing Amount}$$

= RM0.53

(Subject to Services Tax (if any) or any other tax as prescribed by the relevant Minister.)

(b) [state other fee, if applicable]

12. FACILITY DOCUMENT

(a) Letter of Offer Cum Agreement (includes any variation and amendments thereto)
(b) Any other document(s) as required under this Facility

The Customer and/or the Security Party (if applicable) shall execute the Facility Document (if any) within the period of not exceeding **three (3) months** from the date of receipt of this Letter of Offer Cum Agreement, failing which, the Bank shall have the right to revoke this offer and the Customer then shall be responsible to pay all costs including legal costs and other related expense incidental to the preparation of this Letter of Offers.

13. CONDITIONS PRECEDENT

The Customer shall comply with conditions precedent as in **Appendix I.**

14. ADDITIONAL CONDITIONS PRECEDENT

The Customer shall comply with additional conditions precedent as in **Appendix II.**

15. DISBURSEMENT CONDITIONS

The Customer shall also comply with disbursement conditions as in **Appendix III.**

16. OTHER CONDITIONS

The Customer shall comply with other conditions as stipulated in **Appendix IV**.

17. GENERAL TERMS AND CONDITIONS

The Customer shall also comply with general terms and conditions including Conditions Precedent as in **Appendix V.**

18. NOTICE, DOCUMENT ETC.

18.1 Any notice, document (including *akad* script and notice under *Tawarruq* Transaction), application or demand to the Bank or the Customer shall be in writing sent by hand or electronic mail (e-mail) or post to the address or via fax to the numbers or via Short Message Service (SMS) to the mobile numbers as follows:

(a) Customer

Name	:	[redacted]
No. Registration/NRIC	:	GA[redacted]
Registered Address	:	PIBU Betong, Tingkat 1, Sublot No. 39, Bandar Baru Betong 95700 Betong, Sarawak.
Business Address	:	PIBU Betong, Tingkat 1, Sublot No. 39, Bandar Baru Betong 95700 Betong, Sarawak.
Email Address	:	-
Telephone Number	:	011-3527 5707
Fax Number	:	-

(b) Bank

As stated under Clause 19 herein.

18.2 Every notice or request or demand or other communication shall, subject as otherwise provided in this Letter offer Cum Agreement, shall be deemed to be sufficiently served:-

(a) if it is delivered by hand, when so delivered; or

(b) if it is sent by ordinary post, seven (7) days after posting thereof; or

(c) if it is sent by registered letter, (whether it is actually delivered or not) seven (7) days after posting thereof; or

(d) if it is sent by telex or cable immediately after transmission thereof if the date of transmission is a Business Day, and if such a date is not a Business Day, immediately on the following Business Day; or

(e) if by facsimile, upon the issue to the sender of a transmission control or other like report from the despatching facsimile machine which shows the relevant number of pages comprised in the notice have been successfully transmitted; or

(f) if it is sent by an e-mail, at the time when such e-mail is actually received by the recipient in readable form; or

(g) If by SMS, at the time when such SMS shall have be deemed received. An auto-reply shall not constitute such "response" for the purpose of this sub-clause; or

(h) If publication at the Bank's website address, at the time when such publication appeared at such website address.

18.3 The Customer shall notify the Bank of any changes in its address of service in writing. Notice shall be deemed served notwithstanding the Customer does not receive the said notice if the change in address of service was not informed to the Bank.

19. AGROBANK SERVICING BRANCH

AGROBANK BETONG
Sublot No. 60, Bandar Baru Betong,
Jalan Betong, 95700 Betong, Sarawak.

20. APPENDICES AND SCHEDULE

The **Appendices and Schedule** shall be read and construed as part of the terms and conditions of this Letter of Offer Cum Agreement.

21. DEFINITION

In this Letter of Offer Cum Agreement unless the context otherwise requires the following words and expression shall have the following meanings:-

Words	Definition
BMIS	means Bursa Malaysia Islamic Services Sdn Bhd.
Business Day	means a day on which the Bank is open for business and on which transactions of the nature required by this Letter of Offer Cum Agreement are carried out.
Commodity	means the commodity or commodities comprised or intended to be comprised in each Sale Transaction that are permissible by the Shariah.
Commodity Purchase Price	means the price of the Commodity purchased by the Bank from Commodity Supplier under Tawarruq transaction.
Indebtedness	means:- (a) the Sale Price or any outstanding part thereof (which remain due and payable at any time) whether principal, profit, Ta'widh, costs, charges, commission or otherwise outstanding; and (b) all other sum of money howsoever due including but not limited to costs (including legal costs on full indemnity basis) to the Bank from time to time in respect of the Facility or any account; and (c) includes all liabilities and obligations incurred by the Customer to the Bank, whether present or future, actual or contingent, alone or jointly with any other person and in whatever style or name and whether as principal or surety.
Material Adverse Change	means any event or series of events (whether within or outside of Malaysia and whether of a national or international nature) including any act of violence, terrorism, hostility or war or endemic or epidemic or other calamity occurs which in the opinion of the Bank:-

	(i) could or might have adverse effect on the ability or willingness of the Customer and/or the Security Party (if applicable) to perform their obligations under any of the Facility Documents, including but not limited to ability to pay the Indebtedness under the Facility; (ii) would render it inadvisable or impractical for the Bank to make or continue to make the Facility available or allow any use of the Facility; or (iii) could or might jeopardise the Facility or any of its security or the Bank's security position.
Murabahah	refers to a sale and purchase of an asset where the acquisition cost and the mark-up are disclosed to the purchaser.
Proceeds	means the amount payable to the Customer upon the sale of the Commodity to BMIS or to any third party by the Bank acting as an agent of the Customer which amount constitutes the Facility amount.
Sale Transaction	means an agreement between the Parties for the sale and purchase of the Commodity on a deferred payment term.

22. STAMPING

IT IS HEREBY AGREED AND DECLARED that this Letter of Offer Cum Agreement and all other documents referred to herein are all instruments employed in the transaction to secure the Indebtedness and for the purpose of Section 4(3) of Stamp Act. 1949 (Consolidated and revised in 1989) this Letter of Offer Cum Agreement shall be deemed to be the Principal Instrument and the other documents are the Subsidiary Instruments.

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The Facility is granted subject to the main terms and conditions attached herein and the preparation, execution and delivery by the Customer and the Security Party (if any) of the legal documents in the form and substance satisfactorily to the Bank.

Kindly indicate your acceptance of the offer by signing and returning the duplicate of this letter to us within **fourteen (14) days** from the date hereof, failing which the Bank's offer will lapse and be cancelled, unless an extension has been allowed by the Bank.

Thank you.

"Sentiasa Di Sisi Anda"

Yours faithfully,
For and on behalf of
BANK PERTANIAN MALAYSIA BERHAD

.....	.....
K[redacted]	EM[redacted]
Branch Manager	Credit Officer

ACKNOWLEDGEMENT OF ACCEPTANCE

Subject to the terms and conditions of the Facility Documents to be executed:

1. I/We* hereby declare that none of my/our* family members/relatives are the staff of Bank Pertanian Malaysia Berhad.

2. I/We* hereby confirm that I/we am/are the authorized signatory of the Customer pursuant to the Company's Board of Resolution.

   Attached herewith is a copy of the Board of Directors' Resolution.

3. I/We* accept the offer of the Facility based on the terms and conditions of the Letter of Offer Cum Agreement and the main terms and conditions attached herein and agree to be bound by them.

**To delete if not applicable*

SYARIKAT BINTANG 7
PIBU Betong
Tingkat 1, Sublot No. 39,
Bandar Baru Betong,
95700 Betong

	3.12.21	3.12.21
Name :	SY[redacted]ALIE	[redacted]
	([redacted])	([redacted]7)

T/A [redacted] (Registration No.: [redacted])

Date : 3.3.21

SCHEDULE 1
Breakdown of the Bank's Financing under the Facility
(Shall be read and construed as part of the terms and conditions of this Letter of Offer Cum Agreement)

Nos.	Item	Cost (RM)	Finance Amount (RM)	Equity (RM)
1.	Working Capital	75,000.00	75,000.00	0.00
2.	Legal Fees And Stamp Duty	0.00	0.00	0.00
	Total	**75,000.00**	**75,000.00**	**0.00**

SCHEDULE 2
Tawarruq Transactions

1.0 IMPLEMENTATION PROCEDURE

1.1 Appointment Of The Bank As The Customer's Agent (wakil)

1.1.1 The Customer hereby appoints the Bank as its agent subject to the terms and conditions of this Letter of Offer Cum Agreement and the Bank accepts the appointment based on the Shariah concept of Wakalah to do all acts as the Customer could do itself with respect to the facility which includes but not limited to the following:

(a) to purchase the Commodity from the Bank/seller;

(b) to sell the Commodity to any third party at cost price and in cash;

(c) take possession (physical or constructive) of the Commodity;

(d) to receive payment of the cost price on behalf of the Customer;

(e) to deliver possession of and title in and to the Commodity to a third party purchaser of the Commodity;

(f) to sign and execute all documents and do all acts and observe and perform all obligations required to be done in connection with this Letter of Offer Cum Agreement, or imposed under any agreement of sale of the Commodity to a third party; and

(g) to do all the administrative duties regarding the holding and the selling of the Commodity as well as the insurance thereof.

1.1.2 The Customer agrees that:-

(a) The appointment of the Bank shall be effective from the date of this Letter of Offer Cum Agreement until the completion of the Facility and the Bank agrees to act as an agent to the Customer without charging any fee.

(b) In connection with its powers, discretions, authorities and duties under this Letter of Offer Cum Agreement, the Bank shall act as the non-exclusive agent of the Customer on a deal by deal basis to the extent expressly provided herein and in respect of Tawarruq Transactions from time to time entered hereunder and shall not otherwise be regarded as agent for and on behalf of the Customer in any other respect whatsoever.

(c) The appointment of the Bank shall not create or be deemed to create a partnership or a joint venture between the Parties, nor shall it establish a relationship of principal or agent in any other relationship between the Parties.

(d) The Bank shall at all times act as an undisclosed agent of the Customer and it shall not disclose that it is acting as an agent of the Customer and the Bank shall act in the best interest of the Customer.

(e) The Bank shall not be liable for any loss which may be suffered or incurred by the Customer as a result of the Tawarruq Transaction performed by the Bank except where such loss is caused by any misconduct or negligence of the Bank or breach of specific terms and conditions of this Letter of Offer Cum Agreement by the Bank.

(f) The Customer shall be held liable for the sale and purchase contract entered into by the Bank in accordance with specified terms and conditions of this Letter of Offer Cum Agreement.

(g) The Bank shall not be under a duty to disclose and/or provide any documents to the Customer in relation to its duties in terms of this Letter of Offer Cum Agreement.

1.1.3 In a situation where there is more than one Customer, all Customers agree that the implementation of akad shall be done by one of the Customers on behalf of all the Customers via email or facsimile or telephone or other method agreed by the Bank and the said akad shall be valid and binding on all of the Customers.

1.2 **Purchase of Commodity by the Bank**

1.2.1 The Customer requests the Bank to purchase the Commodity at the Commodity Purchase Price from a commodity supplier as may be offered by Bursa Suq Al-Sila of BMIS or any other recognized commodity trading.

1.2.2 The Bank then purchases the Commodity from the commodity supplier at the Commodity Purchase Price which is equivalent to the Facility amount.

1.3 **Sale of Commodity by the Bank**

1.3.1 The Bank then offers to sell the Commodity to the Customer or the Customer's agent (as the case may be) via email or facsimile or telephone or other method agreed by the Bank subject always that the Customer or the Customer's agent (as the case may be) has an option as stated as follows:-

1.3.1.1 to purchase the Commodity at the Sale Price on a deferred payment term and subject to terms of appointment of the Bank as agent;

1.3.1.2 to purchase, take delivery and keep the Commodity and all charges or costs involved shall be borne by the Customer. If the Customer chooses to buy, take delivery and keep the Commodity, the Customer shall make full payment to the Bank before 3.00 p.m. on the same day the said Commodity is purchased by the Customer from the Bank as instructed by the Bank. If the Customer fails to make such payment by 3.00 p.m. on the same day the Commodity is purchased, the transaction shall be considered cancelled; or

1.3.1.3 to cancel the Sale Transaction between the Bank and the Customer and in this case, all costs and charges including but not limited to

BMIS fees shall be borne by the Customer.

1.3.2 The Customer agrees that the options under 1.3.1.2 and 1.3.1.3 shall be communicated by the Customer to the Bank at any time before the purchase of the Commodity by the Bank as the Customer's agent (wakil) but not after the sale of the Commodity by the Bank as the Customer's agent (wakil) to a third party.

1.3.3 Upon the contract of sale as in Section 1.3.1 above is concluded:

1.3.3.1 The Customer will obtain such title to the Commodity as the Bank receives from the commodity supplier but free from encumbrances. The Bank shall not be deemed to give any warranty or representation (express or implied) whatsoever, whether arising by law, by statute or otherwise and, without prejudice to the generality of the foregoing, any such warranty or representation by the Bank is hereby expressly excluded to the fullest permitted by any applicable law; and

1.3.3.2 all risks in the Commodity shall pass to the Customer.

1.3.4 The Commodity is sold on an "as is, where is" basis and the Customer acknowledges that:-

(i) the Customer waives his/her rights to entitlement of any defect option in respect to the Commodity;

(ii) it shall be considered to have accepted the Commodity on such basis and shall have no remedy against the Bank in respect of quality, condition, quantity, description, title or otherwise; and

(iii) the Customer waives any claims which it may have against the Bank in respect of any loss or damage which it, or its officers, employees or agents, may suffer by reason of, arising out of or in connection with this Letter of Offer Cum Agreement or otherwise (howsoever arising) in connection with or arising from any Tawarruq transactions and/or purchase of Commodity from the commodity supplier.

1.4 **Sale of Commodity by the Bank as the Customer's Agent (wakil)**

1.4.1 Upon conclusion of the sale and purchase in Sections 1.3.1.1 and the appointment of the Bank as an agent or wakil of the Customer in accordance with Section 1.1 herein, the Bank, then, sells the Commodity to a third party in the BSAS of BMIS at the cost price on a spot payment and BMIS pays the Proceeds of the Commodity. The payment of the Proceeds shall constitute the disbursement of the Facility to or for the benefit of the Customer. The Sale Transaction shall be concluded on the terms and conditions of this Letter of Offer Cum Agreement.

1.4.2 The Commodity shall be received and shall be sold on an "as is where is" basis, in each case with no warranty or representation whatsoever to any third party and/or purchaser thereof.

1.4.3 The Customer hereby unconditionally and irrevocably waives all and any rights or claims, whether under law, in equity or otherwise howsoever which the Customer may have against the Bank arising from or in connection with the exercise by the Bank of the authorities, discretions and powers granted by this Letter of Offer Cum Agreement and/or the Tawarruq transaction, other than those resulting from the willful default or gross negligence of the Bank.

1.4.4 The Customer hereby unconditionally and irrevocably undertakes to the Bank that the Customer will, on demand, indemnify the Bank and keep the Bank harmless from and against all and any actions, proceedings, claims, liabilities, losses, costs and expenses (including, without limitation, all costs and expenses incurred in disputing or defending any of the foregoing on a full indemnity basis, but other than those resulting from any willful default or gross negligence of the Bank), which the Bank may incur as a consequence of or arising from or connected with the Customer's control, possession or use of the Commodity (including but not limited to any damage or injury to persons or property and the costs and liabilities arising from such claims) and/or which may be made or brought against the Bank or which the Bank may suffer or incur as a result of or in connection with the exercise or purported exercise by the Bank of the authorities, discretions and power granted by this Letter of Offer Cum Agreement and/or the Tawarruq transaction.

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APPENDIX I
CONDITIONS PRECEDENT

1.A CONDITIONS PRECEDENT FOR UTILIZATION OF THE FACILITY

The Facility shall only be utilized by the Customer upon deduction of the Facility Amount for the purpose of payment of legal fees, stamp duty, takaful credit coverage and any other amount which shall be notified in writing by the Bank (if any) and upon fulfillment to the satisfaction of the Bank the Conditions Precedent specified herein and additional conditions precedent as stated in Appendix **II:**

a) The original copy of the Letter of Offer Cum Agreement has been duly accepted by the Customer or the authorised signatories of the Customer in accordance with the Customer's Board of Directors' resolution (as the case may be), stamped and returned to the Bank;

b) The Customer has placed the Security Deposit (if required), has paid legal fees and other costs associated with the preparation of the registration and stamp duty for documents related to this Facility;

c) (If applicable) The Facility Document has been duly executed by the Bank and the Customer and the Security Party, duly stamped and registered with the High Court and/or presented for registration and/or filed at any relevant registry (where applicable) in form and substance acceptable to the Bank;

d) The Bank shall have received the following documents:-

For Individual:-

i) CTOS and CCRIS reports on the Customer and the Security Party (if applicable).

ii) Written confirmation from Malaysia Department of Insolvency confirming that the Customer and the Security Party are not adjudicated bankrupt and no bankruptcy proceedings are pending or taken against them.

For Company:-

i) Certified true copies of the resolution of the Customer's Board of Directors authorising:

aa) the application for the Facility;

bb) the acceptance of the Facility in accordance with the terms and conditions in the Letter of Offer Cum Agreement;

cc) the list of persons authorised to execute all Facility Document and/or related documents relating to the Facility; and

dd) the list of person authorised to deal and/or manage and/or operate with the Bank on all matters relating to the Facility together with their full names, NRIC numbers or passport numbers and specimen signatures.

ii) Certified true copy of the Customer's and Security Party's (if applicable):

aa) Constituent Document (including but not limited to Certificate of Incorporation or Notice of Registration, Constitution/Memorandum and Articles of Association, latest forms issued by Companies Commission of Malaysia (CCM) confirming the respective identities of the directors and shareholders of the Customer and/or the Security Party, whichever is applicable);

bb) Charge Form which has been duly registered and its confirmation as issued by CCM (or any equivalent form related to charge) in respect of all charges created by the Customer and/or the Security Party (if applicable) or the written undertaking by the solicitors to forward the confirmation on charge created upon their receipt thereof from CCM;

iii) Company search report conducted at CCM confirming that there is no existing charges created over the assets of the Customer except as disclosed to and permitted by the Bank;

iv) Written confirmation from Malaysia Department of Insolvency confirming that no winding up order has been made against the Customer and the Security Party (if any) and that all the directors and shareholders of the Customer and the Security Party (if applicable) are not adjudicated bankrupt and no bankruptcy proceedings are pending or taken against them;

e) The Facility Document has been duly executed to the satisfaction of the Bank and the solicitors in respect of all but not limited to the terms under this Letter of Offer Cum Agreement;

f) Where applicable, the Bank shall have received an official land search on the land required to be charged to the Bank from the relevant land registry/office the results of which are to the satisfaction of the Bank;

g) Where applicable, the Customer shall have furnished written consent from the existing creditors or any other party that imposed negative covenants or restrictions against the Customer and/or the Security Party (if applicable) from subsequent financing/borrowing and/or creation of charge;

h) The Customer shall have paid fees charged by the Bank as stated in **Item 11** herein;

i) The Customer shall have complied with all additional conditions precedent as stated in **Appendix II** herein;

j) The Bank shall have received evidence that all approvals, consents, authorisations and licenses (if any) necessary for any matter or thing contemplated by this Letter of Offer Cum Agreement and such other documents as may be required by the Bank have been obtained and remain in full force;

k) (If applicable) The Customer and/or the Security Party have given its written confirmation that it has obtained all relevant consents in general to the creation of the Security;

[redacted]

l) The receipt by the Bank of all relevant undertakings and confirmation required by the Bank to the Bank's satisfaction;

m) There has been no default or breach by the Customer of any of the terms, conditions and warranties under the Facility Document;

n) The Customer's representations and warranties remain to be true;

o) The Bank shall have received the Customer's Utilisation Notice (if any) at least three (3) business days prior to each disbursement of the Facility;

p) There have been no material alterations or changes in the constitution, condition, business, or other affairs of the Customer which could or might adversely affect the decision of the Bank to continue the Facility;

q) the Customer shall have delivered or caused to deliver to the Bank the current receipt of the quit rent, assessment, rates, taxes, dues and other outgoings in respect of the land charged as the Bank may require (if applicable);

r) The Customer shall have complied with the Disbursement Conditions as stated in **Appendix III** herein;

s) Completion of *Tawarruq* Transaction once the Customer chooses an option to purchase and to appoint the Bank as the agent to sell the purchased commodity to a third party; and

t) Any other Conditions Precedent as imposed by the Bank and/or as advised by the Bank's solicitors.

1. B SUSPENSION AND CANCELLATION

Pending fulfillment in a manner satisfactory to the Bank of any of the conditions precedent hereinbefore stipulated, the Bank may cancel, terminate or suspend the Facility or any part or parts thereof upon:-

(i) the happening of any event which in the Bank's opinion would have Material Adverse Change on the Customer's financial position; and/ or

(ii) in the event the Bank discover any irregularities or false information given to the Bank at the time of the approval of the Letter of Offer or application of the Facility;

by giving seven (7) days' notice to the Customer of such cancellation or termination or suspension of the Facility.

1. C WAIVER OF CONDITIONS PRECEDENT

(i) It is hereby expressly acknowledged and declared that the Conditions Precedent herein contained are inserted for the sole benefit of the Bank and may therefore be waived wholly or in part by the Bank without prejudicing the rights of the Bank under this Letter of Offer Cum Agreement and any other Facility Documents and such waiver shall not prejudice the rights of the Bank from insisting on the Customer's compliance with any such waived Conditions Precedent at any subsequent time.

(ii) No waiver of any Conditions Precedent constitutes a waiver of any other Conditions Precedent except to the extent expressly provided in such waiver.

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APPENDIX II
Additional Conditions Precedent

1. The customer is advise to activate Agro Perdana-I Wadiah account and maintain a minimum balance of RM200.00 throughout the financing tenure and can be used as a as a financing payment if payment is lapse.

APPENDIX III
Disbursement Conditions

1. Disbursement shall be made direct to customer's account at Agrobank based on their utilization notice.

APPENDIX IV
Other Conditions

1. Other term and conditions are subject to the Bank's relevant financing policy and guidelines.

APPENDIX V
General Terms and Conditions

1. EARLY SETTLEMENT

The Customer may prepay the Facility or any part of the Facility at any time before the expiry of the term of the Facility Tenure by giving one (1) month notice in writing to the Bank.

2. *TA'WIDH*

In the event of default by the Customer on any of the payment of the instalment or the Sale Price or any part of the Facility or any other payment payable by the Customer under the Facility on the date any of the said amount are due to be paid, the Customer shall be liable to pay compensation ("*ta'widh*") in the manner set out below.

The Bank shall have the right to impose and claim for *ta'widh* from the Customer on the Bank's actual loss due to the Customer's default/failure in the monthly profit servicing payment, balance of the Sale price or any other payment payable by the Customer to the Bank calculated from the date the payment become due until full settlement based on the guidelines issued by Bank Negara Malaysia (BNM) having referred to the resolution of its Shariah Advisory Council (SAC) as follows:

(a) ***Ta'widh* Rate Before Date of Maturity**

Before maturity date, *ta'widh* shall be imposed on the overdue amount at the rate of one per centum (1%) per annum to be calculated on a daily basis.

(b) ***Ta'widh*** **Rate Upon Maturity Date and Judgment**

Upon maturity date and judgment obtained, *ta'widh* shall be imposed at the prevailing Islamic Interbank Money Market rate on the outstanding balance as fixed by the Bank from time to time based on the guidelines issued by BNM having referred to the resolution of its SAC.

3. REBATE/*IBRA'*

The Rebate/*Ibra'* shall be granted by the Bank to the Customer based on Bank's current policy under the following circumstances:-

(a) Early settlement or early redemption or prepayments;
(b) Settlement of the financing due to restructuring exercise;
(c) Settlement by the Customer in the case of default whereby even though the Customer is in default, the Customer makes full settlement of the indebtedness under the Facility before maturity date;
(d) Settlement by the Customer in the event of termination or cancellation of financing before maturity date.

The amount of rebate/*ibra'* at the point of early settlement before maturity date shall be as follows:-

Ibra' at settlement = Deferred profit

4. APPOINTMENT OF SOLICITORS (IF APPLICABLE)

The Bank will appoint a legal firm from the Bank's panel of solicitor for the preparation and perfection of the documentation of this Facility.

However, if the Customer wishes the Bank to appoint a legal firm of its choice which is not in the Bank's panel, the Customer must submit its request in writing to the Bank. Any decision for the request will be at the Bank's discretion and the decision shall be final.

All costs, expenses and professional legal fees charged by the panel of solicitor shall be borne by the Customer.

In the event this Letter of Offer Cum Agreement is cancelled or the Facility is terminated for any reasons whatsoever, the Customer shall be responsible to pay all the costs, expenses and professional legal fees charged by the legal firm.

5. VALUATION OF THE PROPERTY (IF APPLICABLE)

Any land, property, factory, building and/or any asset charged to the Bank must be valued by the panel valuer of the Bank and the cost shall be borne by the Customer.

6. RIGHT OF INSPECTION ON DOCUMENTS/PROJECT SITE (IF APPLICABLE)

The Bank shall have the right to inspect all accounts, books and other related documents pertaining to the Facility at any time deemed suitable. The Bank shall also have the right to access the Project site (if any) for the purpose of determining the progress of the works completed from time to time.

7. RIGHT TO REVIEW THE FACILITY

Notwithstanding anything to the contrary in the Letter of Offer Cum Agreement and further notwithstanding any specific purpose(s) agreed to herein, the Bank shall be entitled to review the granting and/or continuation of the Facility at any time and from time to time (irrespective of whether or not the Facility or any part thereof has been utilised or disbursed or whether any event of default has occurred), including but not limited to the following circumstances:

i) If applicable, where the Facility is not disbursed within there (3) months from the date of the execution of the Facility Documents or such further period as the Bank may prescribe for any reason whatsoever; or

ii) where there is any changes in the membership of the Customer's board of directors, substantial changes in the shareholdings structure and/or changes of the management; or

iii) if applicable, where the revaluation report reveals that the forced sale value of the security, land, property and/or building market value charged to the Bank is lower than on the date the security is/are given as the case may be; or

iv) where there is a change in applicable law or regulation which makes it impossible or unlawful for the Bank to continue its making available the Facility or any part thereof to the Customer or if the Customer or any other Security Party (where applicable) shall be affected by a material change in circumstances which in the opinion of the Bank has an adverse impact on the Customer and/or any of the Security Party (if applicable) ability to perform the Customer and/or Security Party (if applicable) obligations hereunder and under the Facility Document; or

v) if any of the Customer's and/or Security Party's (if applicable) representations and warranties shall at any time be found to have been incorrect in any material aspect; or

vi) if any conditions stipulated herein is breached or not fulfilled to the Bank's satisfaction;

And upon any such review and after giving a **seven (7)** days' notice to the Customer, the Bank shall be entitled to exercise any of its rights and powers to withdraw, cancel, suspend, terminate or recall the Facility or any part thereof, and the Customer hereby agree to immediately accept such decision and/or pay to the Bank the indebtedness then due and outstanding under the Facility.

The Bank shall also be entitled to require the Customer to submit to the Bank within **one hundred and eighty (180) days** after the end of each financial year of the Customer's Company, the Company's Audited Statement of Account inclusive but not limited to the balance sheet, profit and loss account and report duly audited and certified by a qualified independent auditor acceptable to the Bank for the Bank to exercise its rights to review the Facility.

The Bank shall be entitled to require the revaluation of the property charged to the Bank **every two (2) years** from the date of first valuation report submitted to the Bank and the fees, costs and expenses incurred shall be borne by the Customer (if applicable).

8. FEES AND CHARGES

The Bank shall have the right to impose fees and charges based on the BNM's guidelines.

9. REPRESENTATION AND WARRANTIES

9.1 The Customer represents and warrants to the Bank that:-

(a) The Customer is a company duly registered and validly existing under the laws of Malaysia with the full power and authority to own its assets and to carry on its business as it is now conducted.

(b) The Customer and/or the Security Party (if applicable) has full legal right, authority and power to transact hereunder and to enter into and perform his obligations under this Letter of Offer Cum Agreement and all other Security Documents executed by the Customer and/or the Security Party (if applicable) in favour of the Bank in securing the Facility and there shall be no person or party having priority over the Bank in respect of this Letter of Offer Cum Agreement and all other Security Documents in relation thereto, save and except as the Bank may agree in writing in its discretion.

(c) The acceptance of the Facility shall not constitute an event of default under any of the Customer's agreements with any third Party.

(d) This Letter of Offer Cum Agreement shall constitute the legal, valid and binding obligations of the Customer in accordance with the terms and conditions hereunder and the obligations of the Customer in respect of the payment of principal, fees and other expenses and charges do not contravene any law, regulation, order of any court or other governmental agency or any existing agreement binding on the Customer;

(e) The Customer and/or the Security Party (if applicable) is not in default of any agreement to which it is a party and no tax claim, litigation or other proceeding are current or pending which may materially impair its solvency or ability to perform its obligations under this Letter of Offer Cum Agreement;

(f) All payments pursuant to this Letter of Offer Cum Agreement do not contravene any exchange control legislation binding on it;

(g) The terms of this Letter of Offer Cum Agreement constitute valid and binding

obligations of the Customer and are enforceable in accordance with the terms therein contained;

(h) The execution of this Letter of Offer Cum Agreement and the performance of the terms herein by it will not contravene any law, regulations, administrative orders and guidelines or court orders to which it is subject;

(i) Since the date of submission by the Customer of its application for the Facility, there has not been any Material Adverse Change on the financial position or business of the Customer;

(j) The Customer and/or the Security Party (if applicable) has obtained and has taken all the relevant steps for obtaining all necessary corporate, creditors and shareholder's consents and/or other necessary licences, approval, certificates, assurances, documents, waivers and authorisations as are or may become necessary for financing by the Bank hereunder, the execution of the Security Documents and duly complied with all laws pertaining to the same and shall notify the Bank forthwith if such licences, consents, approvals, waivers or authorisations or any of them are refused, withdrawn, modified, resolve or terminated or expires and is not renewed or is otherwise not in full force and effect;

(k) The Customer's account furnished to the Bank hereof:

(i) were prepared in accordance with accounting principles and practices generally accepted in Malaysia and consistently applied and have been prepared, examined, reported on procedures required by the Customer's Memorandum and Articles of Association or constitution and/or the laws of Malaysia and audited and certified without qualification by a qualified independent auditor;

(ii) together with the notes thereto, give a true and fair view of its financial condition and operations as at the date and for the period then ended;

(iii) together with those notes, disclose or reserve against all its liabilities (contingent or otherwise) as at that date all material unrealised or anticipated losses from any commitment entered into by it and which existed on that date;

(l) All necessary returns have been delivered by or on behalf of the Customer to the relevant taxation authorities and the Customer is not in default in the payment of any taxes of a material amount, and no material claim is being asserted with respect to taxes which is not disclosed in the financial statements furnished to the Bank;

(m) The information furnished by the Customer and/or the Security Party (if applicable) in connection with the Facility does not contain any untrue statement or omit to state any fact the omission of which makes the statements therein, in the light of the circumstances under which they were made, misleading, and all expressions of expectation, intention, belief and opinion contained therein were honestly made on reasonable grounds after due and careful enquiry by the Customer;

(n) The Customer has fully disclosed in writing to the Bank all facts relating to the Customer which the Customer knows or should reasonably know and which

would have been material for disclosure to the Bank in the context to the Bank having agreed to grant to the Customer the Facility;

(o) No Event of Default has occurred and no events have occurred which with the giving of notice and/or the lapse of time might constitute an Event of Default;

(p) That the execution, delivery and performance of this Letter of Offer Cum Agreement by the Customer and/or the Security Party (if applicable) :

(i) will not violate the provisions of any law or regulation or any order or decree of any governmental authority, agency or Court to which the Customer is subject;

(ii) will not violate the provisions of any mortgage, contract or other undertaking or instrument to which the Customer is a party or which is binding upon the Customer; and

(iii) will not result in the creation or imposition of or any obligation to create or impose any mortgage, lien, pledge or charge on the Customer's properties, assets or revenues pursuant to the provisions of any such mortgage, contract or other undertaking or instrument.

(q) That all consents, approvals and authorizations of any relevant authority which are necessarily required on the part of the Customer to be obtained or which are advisable for or in connection with the execution, delivery, performance, legality and enforceability of this Letter of Offer Cum Agreement, the Security Documents or any other security documents have been obtained and are in full force and any conditions contained therein or otherwise applying thereto have been complied with.

(r) That the Customer is not in breach of this Letter of Offer Cum Agreement or any agreement to which the Customer is a party and no litigation, arbitration or administrative proceedings are presently current or pending or threatened which breach, litigation, arbitration or administrative proceedings as the case may be might materially affect the solvency of the Customer and might impair the Customer's ability to perform the Customer's obligations hereunder.

(s) There is no legal proceeding threatened or pending against the Customer (if the Customer is a company). There are also no winding-up proceedings instituted against the Customer and the Customer has not commenced any action for voluntary winding-up of the Customer or (if the Customer is an individual) the Customer is not an undischarged bankrupt or the Customer has not violated any court order or judgment or no provision of any existing agreement binding on the Customer or to which it is subject to which would be contravened or breached by the execution, delivery and performance of this Letter of Offer Cum Agreement;

(t) All the particulars and declarations furnished, provided or made available by the Customer in respect of the Customer's application for the Facility are true, accurate and correct in all respects and there has been no omission which would render the information inaccurate or misleading;

9.2 The Customer acknowledges that the Bank has granted the Facility to the Customer on the basis of and in full reliance upon, the aforesaid representations and warranties, which will be correct and complied with in all material respects for so long as this Letter of Offer Cum Agreement, the Security Documents and all other security documents in favour of the Bank shall remain in force and each of the above representations and warranties will be correct and complied with in all material respects so long as the Facility shall remain available and/or the Sale Price and/or the Indebtedness shall remain outstanding.

9.3 The truth and correctness of all the matters stated in the representations and warranties under Clause 9.1 hereof shall form the basis of the Bank's commitment to make available or continue to make available the Facility to the Customer. If any such representations and/or warranties made shall at any time hereafter be found to have been incorrect in any material respect then and in such event and notwithstanding anything to the contrary hereunder the Bank shall have the right at its discretion to review, suspend, recall or terminate the Facility or any part thereof by giving seven (7) days' notice to the Customer.

10. COVENANTS BY THE CUSTOMER

10.1 Affirmative Covenants

The Customer hereby agrees and undertakes with the Bank that so long as this Letter of Offer Cum Agreement shall remain in effect or the Indebtedness under the Facility shall remain outstanding or shall remain to be utilized, the Customer shall:

(a) operate its business and affairs with due diligence and efficiency and in accordance with sound financial and industrial standards and practices and in accordance with its Memorandum and Articles of Association or constitution and/or any regulations and/or by-laws as the case may be as applicable;

(b) furnish to the Bank all such information as the Bank shall reasonably request concerning the use of the Facility and on any factors materially affecting the Customer's business and the operation and financial condition of the Customer and in particular supply the Bank with statements of all moneys owing to the Customer and all such other information in such form as the Bank may from time to time require;

(c) keep full and particular accounts of the carrying on its business or businesses and cause the same to be properly posted up to date and prepare or cause to be prepared all accounts to be delivered by the Customer under this Letter of Offer Cum Agreement;

(d) deliver to the Bank such number of copies as the Bank may reasonably request of the following;

(i) within sixty (60) days from the end of each half of each financial year of the Customer complete but unaudited financial statements of the Customer duly certified by an authorised officer of the Customer in such form and substance as the Bank may from time to time determine;

(ii) within one hundred and eighty (180) days after the end of each financial year of the Customer or within any extended period acceptable to the Bank its balance sheet, profit and loss account and report duly audited and certified by a qualified independent auditor acceptable to the Bank stating accurately, in accordance with generally accepted accounting standard and without any qualification or reservation deemed to be adverse by the Bank in its discretion, the financial condition of the Customer.

(e) maintain and furnish to the Bank records adequate to reflect in accordance with consistently maintained sound accounting practices the operations and financial condition of the Customer and allow the Bank or its agents and servants to inspect all records at any office branch or place of business of the Customer or elsewhere and to the extent permitted under the law, all records kept by any other authorities or persons so far as such records relate to or affect the Customer's properties, assets and business and the Customer shall, and to the extent permitted under the law, give to the Bank or any person authorized by the Bank to inspect such records such written authorities as may be required to enable the Bank to inspect the said records;

(f) permit or cause to permit the Bank or its agents and servants at all times to enter and inspect any relevant records and to make inventories and records thereof and if the Bank shall reasonably so desire to have the same valued at the expense of the Customer by a valuer appointed by the Bank at the cost and expense of the Customer. Any such entry and inspection shall be arranged in advance with the Customer;

(g) punctually pay all rents, rates, taxes and all outgoings payable in respect of the premises at which it carries on business and obtain all necessary licences and comply with all regulations relating to the carrying on of its business on such premises;

(h) keep and maintain its present paid up share capital and any increase thereof;

(i) appoint from time to time such reputable auditor or firm of auditors and to inform the Bank immediately upon such appointment or any change of auditor or firm of auditors and to authorise such auditor or firm of auditors to supply the Bank with a certified copy of any communication sent by such auditor to the Customer and further to communicate directly with the Bank at any time in respect of any matter connected with the account and operations of the Customer;

(j) notify the Bank of the occurrence of any Event of Default or of any event of default in relation to any other indebtedness of the Customer or of any other occurrence of which it becomes aware which has material adverse effect the Customer's ability to fully perform its respective obligations hereunder;

(k) notify the Bank if any of the Customer's authorized signatories be no longer authorised to sign the Utilisation Notice or otherwise to act on the Customer's behalf hereunder;

(l) maintain in full force and effect all relevant licences, authorization and consents (governmental and otherwise) and promptly obtain any further authorisations and consents and do all other acts which may from time to time be necessary for the continued operation of the Customer's business and the Customer's continued due performance of its obligations hereunder;

(m) observe and comply at all times with all relevant laws and regulations which may be applicable from time to time and all the conditions contained in or pertaining to any license issued to the Customer;

(n) take out and maintain for such amount and with such Takaful provider/ Insurance company as shall be acceptable to the Bank a policy of takaful/ insurance in respect of risks referred to in Clause 18;

(o) where relevant, pay all and keep current all employees provident fund contributions;

(p) by written notice, inform the Bank of:

(i) any legal proceeding, litigation or claim, (of a material nature) involving the Customer;

(ii) any material dispute between the Customer and any Government or statutory body in respect of any of the Customer's business;

(iii) any labour controversy which might result in a strike against the Customer;

(iv) any Material Adverse Change on the Customer's ability to fulfill its obligations under this Letter of Offer Cum Agreement, its financial position or its ability to pay the Indebtedness under the Facility;

(q) furnish to the Bank a copy of all documents filed with the Companies Commission of Malaysia (CCM) within seven (7) days from the date of such filing;

(r) do or permit or cause to be done each and every act or thing, including executing any document, which the Bank may from time to time require to be done for the purpose of enforcing the Bank's rights under this Letter of Offer Cum Agreement or for perfecting any security created or intended to be created by this Letter of Offer Cum Agreement or for obtaining the full benefits of this Letter of Offer Cum Agreement and of the rights and powers herein, and will allow its name to be used as and when required by the Bank for that purpose;

(s) keep the Bank informed of any changes in the membership of the boards of directors;

(t) promptly inform the Bank of any substantial changes in the shareholding structure;

(u) keep the Bank informed of any changes in its senior management;

(v) inform the Bank of any additional borrowings/financing facility incurred by the Customer;

(w) submit on a quarterly basis to the Bank progressive reports on the Project supported by documents and/or certifications by the relevant project consultants;

(x) promptly inform the Bank of any declaration, payment or making any dividend or other distribution whether of an income or capital nature and whether in cash or in kind;

(y) obtain all the necessary approval(s) from the Relevant Authorities to carry out the Project.

10.2 **Negative Covenants**

The Customer hereby further covenant and undertake with the Bank that from the date of this Letter of Offer Cum Agreement and for so long as any Indebtedness and/or any other moneys under the Facility still remaining due and payable under this Letter of Offer Cum Agreement and/or the Security Documents it will not without prior written consent of the Bank:

(a) Create or permit to exist any security interest over all or any part of its business or present or future assets except:

(i) the existing security interest as disclosed by the Customer to the Bank;

(ii) netting or set-off arrangement entered into by the Customer in the ordinary course of its banking arrangements for the purpose of netting debit and credit balances;

(iii) liens arising by operation of law and in the ordinary course of trading provided that the debt which is secured thereby is paid when due or contested in good faith by appropriate proceedings and properly provisioned;

(iv) liens or rights of set off arising in the normal course of trading relating to liabilities the aggregate amount of which is not material;

(v) Security interest arising under any retention of title, hire purchase or conditional sale arrangement or arrangements having similar effect in respect of goods supplied to the Customer in the ordinary course of trading and on the supplier's standard or usual terms;

(vi) Security interest created pursuant to any Security Document; and

(vii) Security interest as may be consented to by the Bank in writing from time to time.

For the purpose of this Section, the expression "assets" includes but not limited to any revenues and property movable and immovable of any kind.

(b) Sell, transfer or otherwise dispose of all or a substantial part of its respective businesses or present or future assets, either in a single transaction or in a series of transactions, except that the following disposals shall not be taken into account:

(i) disposal made in the ordinary course of business of the Customer;

(ii) disposals of cash raised or borrowed for the purposes for which such cash was raised or borrowed;

(iii) disposals of investments listed or dealt in or on any security exchange or over the counter market (not being investments in any subsidiary of the Customer);

(iv) disposals of assets in exchange for other asset comparable in type and value;

(v) disposals pursuant to any scheme of reconstruction or amalgamation previously approved in writing by the Bank.

For the purposes of this Section, the expression "assets" includes but is not limited to any revenues and property movable and immovable to any kind;

(c) Enter into any transaction with any person, firm or company except in the ordinary course of business, on ordinary commercial terms and on the basis of arm's length arrangements, or establish any exclusive purchasing or sales agency, or enter into any transaction whereby the Customer might pay more than the ordinary commercial price for any purchase;

(d) Enter into any partnership, profit-sharing or royalty agreement or other similar arrangement whereby the Customer's income or profits are, or might be, shared with any other person, firm or company save and except on an arm's length basis or enter into any management contract or similar arrangement whereby the Customer's business or operations are managed by any other person, firm or company;

(e) Make or permit to exist financings or loans or lend or make advances to any of its shareholders or directors or any person, firm, company or others or guarantee any person, enterprise or company (other than normal trade credit or trade guarantees or temporary loans to staff, customers, contractors or suppliers in the ordinary course of business);

(f) Add to, delete, vary or amend its Memorandum and Articles of Association or constitution, in any manner which would be inconsistent with the provisions of this Letter of Offer Cum Agreement, or change its financial year, or the nature of its business, or sell, transfer, lease or otherwise dispose of all or a substantial part of its capital assets, or undertake or permit any merger, consolidation or reorganisation;

(g) Sell or dispose of or permit to sell or permit to dispose of any of the assets or properties presently charged or assigned or secured to the Bank or any part thereof;

(h) Transfer or dispose of all or part of its investments in the Customer's subsidiaries and associates;

(i) Decrease or in any way whatsoever alter the authorized or issued capital of the Customer whether by varying the amount, structure or value thereof or the rights attached thereto or convert any of its share capital into stock or by consolidating, dividing or subdividing all or any of its shares;

(j) Agree to any amendment, variation or waiver or any provision of any sale agreement to which it is a party;

(k) Lend or make advances to any of its directors or any company that is associated with or deemed to be related to it under Section 7 of the Companies Act, 2016, except in the ordinary course of business;

(l) Declare or pay any dividend or make any distribution of profits if any moneys owing to the Bank under the Facility shall be overdue or unpaid; and

(m) Make any changes whatsoever to and in respect of the Project and/or supplier and/or vendor (if any).

11. EVENTS OF DEFAULT

11.1 The following shall constitute event(s) of default:

(a) Non-payment

If the Customer or any Security Party (if applicable) fails to make payment of the Indebtedness to the Bank under the Facility on its due date, whether formally demanded; or

(b) Breach of other Terms and Conditions

If the Customer or any Security Party (if applicable) fails to observe or perform any of the agreements, undertakings, covenants, stipulations, terms and conditions on the part of the Customer or any Security Party (if applicable) as provided in this Letter of Offer Cum Agreement or under the Security Documents (if applicable) and the same is not remedied within fourteen (14) days of the date stipulated by the Bank; or

(c) Creditors

If the Customer or any Security Party (if applicable) shall enter into any composition or arrangement with or for the benefit of the creditors of the Customer or any other Security Party (if applicable); or

(d) Unsatisfied Judgment/ Distress/ Execution

Allows any judgment against the Customer or any Security Party (if applicable) to remain unsatisfied for a period of fourteen (14) days or any distress or execution or other process of a Court of competent jurisdiction is levied upon or issued against any property/properties or assets of the Customer or any Security Party (if applicable) and such distress or execution or other process, as the case may be, is not satisfied by the Customer or any Security Party (if applicable) within fourteen (14) days thereof; or

(e) If the Customer or the Security Party (if applicable) unable to pay its debts as they become due or commits an act of insolvency or any act analogous thereto or if a judgment is obtained against the Customer and/or any Security Party (if applicable) by any persons; or

(f) Bankruptcy

If the Customer or any Security Party (if applicable) commits an act of bankruptcy or becomes, or is found to be a bankrupt or suspends payment of its debts or is deemed to be unable to or admits inability to pay its debts as they fall due or suffers execution to be levied against him or proceedings are commenced in relation to the Customer or any Security Party (if applicable) under any law regulation or procedure relating to reconstruction or adjustment of debts; or

(g) Illegality

It is or will become unlawful for the Customer or the Security Party (if applicable) to perform or comply with any one or more of the obligations of the Customer or the Security Party (if applicable) under this Letter of Offer Cum Agreement or the Security Documents (if applicable); or

(h) Security in Jeopardy (if applicable)

If in the opinion of the Bank, the Securities created herein are in jeopardy;

(i) If a step is taken for the winding up, dissolution, liquidation or restructuring, as the case may be, of the Customer or any Security Party (if applicable) or a petition for winding up (voluntary or otherwise) is presented against the Customer or any Security Party (if applicable) or any winding up proceedings are threatened against the Customer or the Security Party (if applicable) or the Customer passes any resolution for its winding up or a winding-up or creditor's petition shall be presented against the Customer; or

(j) Death/ Insanity

If the Customer or any Security Party (if applicable) serves any custodial sentences, becomes insane or dies or becomes mentally incapacitated; or

(k) Material Adverse Change

If the Customer or any other Security Party (if applicable) shall be affected by a Material Adverse Change on their financial conditions or obligations under this Letter of Offer Cum Agreement or the Facility Documents in accordance with the terms hereof; or

(l) Validity / Enforcement of the Security Documents (if applicable)

If any of the Security Documents ceases to remain in full force and effect for any reason whatsoever or cannot be perfected for any reason whatsoever or the Securities cannot be registered or is invalid for any reason whatsoever; or

(m) Cease of Business

If the Customer or any of the Security Party (if applicable) ceases or threatens to cease or to carry on its business or if there is any change in the major shareholders and/or management of the Customer; or

(n) Compulsory Acquisition (if applicable)

If a notice or proposal for compulsory acquisition of the Securities to the Bank shall be issued or made under or by virtue of an Ordinance, act of Parliament or other statutory provisions and the Customer fails to substitute the Securities as required by the Bank (as the case may be); or

(o) Appointment of Receiver/Manager

If a receiver and/or manager of the Customer's or any Security Party's (if applicable) properties, assets or undertakings or any part thereof shall be appointed and such appointment shall be deemed by the Bank to be prejudicial for the security stipulated herein; or

(p) Breach of Representation and Warranties

Any representation or warranty made or implied under the Facility Documents or any notice, certificate, letter or other documents delivered under the Facility Documents, as the case may be proves to have been untrue or incorrect or misleading in a particular manner deemed to be material by the Bank; or

(q) Cross Default

(i) Any other indebtedness of the Customer or Security Party (if applicable) becomes payable or due prematurely, or becomes capable of being declared payable or due prematurely, by reason of a default by the Customer or Security Party (if applicable) in its obligations with respect to that indebtedness; or

(ii) The Customer or any Security Party (if applicable) fails to make any payment in respect of that indebtedness on the due date for such payment, or if due on demand when demanded; or

(iii) Upon the security for any such indebtedness becoming enforceable (if applicable); or

(r) Ability of the Customer/ Security Party (if applicable) to Perform Terms

An event or events has or have occurred or a situation exists which could or might in the opinion of the Bank and has been notified by the Bank to the Customer, prejudice the ability of the Customer or the Security Party (if applicable), to perform its obligations hereunder or under any of the Security Documents (if applicable); or

(s) Fire/ Damage to the Securities (if applicable)

The Securities shall be so severely damaged by fire or other cause as to be unlikely in the opinion of the Bank to be tenantable; or

(t) Notice shall be served by the Bank of any determination or revocation of any agreement in respect of the obligation of the Customer to the Bank; or

(u) Enforcement Proceedings

One or more judgments or decrees shall have been entered against the Customer or any Security Party (if applicable) involved in the aggregate a liability (not paid or fully covered by takaful/insurance) of such quantum deemed significant by the Bank and all such judgments or decrees shall not have been vacated, discharged or stayed within sixty (60) days from the entry thereof; or

(v) Authorisation and Consents

Any licence, authorisation, approval, consent, order or exemption or filing with any governmental authority required to be taken, fulfilled or done for any of the purposes stated in the Facility Documents:

(i) is not taken, fulfilled or done; or

(ii) ceases to be in full force and effect and which cessation will have a Material Adverse Effect on the Customer

(w) Failure to maintain Security Deposit at the same amount as set out in this Letter of Offer Cum Agreement (if applicable); or

(x) If the Project (if applicable) is not completed and/or abandoned or is not progress as planned.

11.2 If any of the events described in Clause 11.1 above occurs:

(i) the Bank is entitled with notice to the Customer to suspend further utilization of any or all of the Facility, or to reduce limit or amount made available under the Facility, without having to make a prior demand; and

(ii) the whole of the Sale Price or Indebtedness or the balance thereof remaining unpaid and/or any other sums or moneys payable by the Customer for the time being remaining unpaid and/or any other sums or moneys for the time being remaining owing under this Letter of Offer Cum Agreement and the Facility

shall become due and immediately payable by the Customer to the Bank and the Bank shall have the right to exercise its rights (including but not limited to the right to increase the profit rate provided that it shall not exceed the Sale Price).

12. CROSS DEFAULT

The Customer shall comply and be responsible with respect to any other facility granted by the Bank to the Customer. If any sums of other debt or financing shall be due and become payable or if default is made in any provisions of such account or in any other facility granted by the Bank to the Customer in such event the Facility herein together with the indebtedness and all moneys payable under such accounts or other banking facility aforesaid shall immediately become due and payable and the security constituted by the Security Document shall immediately become enforceable.

13. CHANGE OF THE PROJECT AND/OR SUPPLIER AND/OR SERVICE PROVIDER (IF APPLICABLE)

The Customer is prohibited from making any changes whatsoever with respect to the Project and/or Supplier and/or Vendor (if any) without any written consent from the Bank being first obtained.

14. CHANGE OF THE DIRECTORS, SHAREHOLDERS AND MANAGEMENT OF THE COMPANY

The Customer shall promptly inform the Bank of any changes in the membership of the Board of Directors, substantial changes in the shareholdings structure and management of the Customer's company.

15. CHANGE OF THE CIRCUMSTANCES

In the event of any changes in the law, regulation or anything of similar nature or in their interpretation or in the event of fulfilling any requirement or conditions, liabilities or anything of similar nature, then the Bank shall have the right to:

i. change or vary any of the conditions stated herein by giving a twenty-one (21) days' notice to the Customer; or
ii. terminate the Facility by giving a seven (7) days' notice to the Customer.

16. SEVERABILITY

Any term, condition, stipulation, provision, covenant or undertaking contained herein which is illegal, prohibited or unenforceable shall be ineffective to the extent of such illegality, prohibition or unenforceability without invalidating the remaining provisions hereof and any such illegality, prohibition or unenforceability shall not invalidate or render illegal, void or unenforceable any such term, condition, stipulation, provision, covenant or undertaking in any other provisions herein.

17. APPLICABLE LAWS

The Facility granted and the Facility Document shall be subject to the laws of Malaysia.

18. *TAKAFUL*

Unless it is required by laws, all machineries, equipment, assets and any property financed by the Bank and/or required to be charged to the Bank by the Customer and/or the Security Party (if applicable) are advised to be covered with *takaful*, (to be taken by the Customer and/or the Security Party (if applicable)) against all loss or damage due to or as a result of fire, theft, flood or against such other risks as the Bank may deem expedient (including Contractors All Risk) with Takaful Ikhlas Berhad or any *takaful* companies chosen by the Customer and/or the Security Party (if applicable) and approved by the Bank throughout the duration of the Facility and if relevant, shall cause the Bank's interest as beneficiary to be endorsed on the policy including an express clause to the effect that any cancellation of the *takaful* policy is not permitted unless consented to by the Bank.

If relevant, the original of all *takaful* policy and the receipts or other evidence of payment of contribution shall be submitted to the Bank for the Bank's safekeeping and remain in the custody of the Bank. Renewal of the *takaful* policies will be done by the Customer failing which the Bank will renew the takaful policies on behalf of the Customer and the Bank reserves the right to debit the Customer's account for the cost and expenses incurred.

19. STATEMENT OF ACCOUNT

Any statement of account issued or signed by the Manager, Branch Manager or any officers of the Bank or any solicitors acting on behalf of the Bank with respect to any amount indebted by the Customer shall be taken as proof in all respect relating to the Facility (including any legal proceedings) save for any manifest error.

20. DISCLOSURE OF INFORMATION

Without limiting the subsequent provisions of this paragraph herein, the Bank may at any time, disclose to any person who may, in the Bank's absolute discretion, require such information or access thereof any documents or records of, or information about the Facility Document or assets or affairs of the Customer (including the Customer's account or future account with the Bank) whether or not confidential and whether or not the disclosure would be in breach of any law or of any duty owed to the Customer provided that in respect of documents, records or information which the Customer has informed the Bank to be confidential, the person receiving such information from the Bank may be required to undertake to maintain the confidentiality of documents, records or information received.

The Customer hereby irrevocably consents for the Bank to disclose any documents or records of, or information about the Facility Document, the Facility, or the assets, or affairs of the Customer, whether or not confidential and whether or not the disclosure would be in breach of any law or of any duty owed to the Customer:

(i) within the Bank, on the need-to know basis, including individuals undergoing practical training or internship program with the Bank and the Bank's employee of whom the Customer is connected to; or

(ii) to the Central Credit Unit, BNM, Inland Revenue Board (IRB) including as required under Section 132B of the Income Tax Act 1967 (ITA), Income Tax (Automatic Exchange of Financial Account Information) Rules 2016 and Income Tax (Automatic Exchange of Financial Account Information) (Amendment) Rules 2017;

(iii) to any of the Bank's banking products and services strategic partners who are under the duty of confidentiality with the Bank; or

(iv) to any relevant government or regulatory authorities or such other relevant governmental or quasi-governmental bodies having jurisdiction over either Party or over the Facility as may be necessary for; or

(v) to any party providing services or other professional advisers to the Bank (including outsourcing vendors, debt collection agents, auditors, solicitors, agents, consultants) ; or

(vi) to the Security Party (if applicable); or

(vii) to Takaful Ikhlas Berhad or other takaful companies (if required) in the event that any application for any takaful coverage is submitted by the Customer to Takaful Ikhlas Berhad or other takaful companies; or

(viii) for or in connection with any legal action, suit or proceedings relating to the Facility or security; or

(ix) to any third party, if required by any law, regulation or by-law; or

(x) to any party pursuant to any arrangement, composition, restructuring or any proposed arrangement, composition or restructuring between the creditors of the Customer; or

(xi) pursuant to any other legal provisions or subpoena.

The Customer acknowledges and agrees that the permission given under this paragraph is for the purposes of the Development Financial Institution Act 2002 (Act 618) (and any variation, modification, substitution and amendment thereto) and that no further consent from the Customer is required for the purposes of this paragraph.

21. PERSONAL DATA PROTECTION ACT 2010 (ACT 709) ("PDPA")

In the course of the Customer dealing with the Bank, the Bank may request the Customer to provide its personal data and where applicable, its employees, agents, directors, contact persons, shareholders, representatives, authorized person and shareholdings details of the shareholders as disclosed by the Customer prior to or during the course of performance of the Facility Document for the performance of contract, marketing, legitimate business activity, administration and economic efficiency purposes. The Customer hereby warrants that the PDPA has been complied with and that consents have been obtained from the Customer or where applicable, the Customer's employees, agents, directors, contact persons, shareholders, representatives and authorized persons in relation to the disclosure and processing of their personal data for the aforesaid purposes.

The Customer consents to and authorizes the Bank to process (as defined under the PDPA) including to transfer the Customer's personal data to other external parties in Malaysia and in other countries, including but not limited to the parties/ bodies listed under Clause 20 above for the maintenance, storage and retention of the Customer's personal data, within or outside Malaysia, with regards to the Customer's application for products and services and subsequently to continue performing the contractual agreements entered between the Customer and the Bank.

The Customer consents that the Bank, its employees, its representatives and/or its agents may contact the Customer from time to time through personal visits or oral communication effected via any means of communication including but not limited to telephone calls regarding any products or services promotion unless objected to in writing by the Customer.

The Customer confirms that all personal information and data set forth herein is/ are all true, up to date and accurate and should there be any changes to any personal information or data set forth herein, the Customer shall notify the Bank promptly.

The Customer agrees that the Customer has read, understood and to be bound by the terms of the PDPA policy as published in the Bank's website at www.agrobank.com.my.

22. LEGAL COSTS AND OTHER EXPENSES

All fees, costs and other expenses (including legal fees which comprise professional fees and disbursement payable to the solicitors) in connection with the Facility and Facility Document shall be borne by the Customer whether or not the Facility are utilised, withdrawn or cancelled for whatever reason. The Bank retains the right to debit all fees and expenses incurred by the Bank onto the Customer's Facility account or to any other account with the Bank.

In the event the Facility has to be recovered by any process of law, all fees and expenses in connection with such recovery including the Bank's solicitors fees and costs (on a full indemnity basis) shall be borne by the Customer. The Bank shall have the right to debit the aforesaid fees, costs and expenses to the Customer's account(s).

The Bank will give a seven (7) days' notice to the Customer if recovery of any outstanding amount under the Facility is to be outsourced to a third party.

23. ANTI-MONEY LAUNDERING AND TERRORIST ACT, ANTI-TERRORISM FINANCING AND PROCEEDS OF UNLAWFUL ACTIVITIES ACT 2001 (ACT 613)

The Customer shall not utilize the Facility for illegal activities as provided under the Anti-Money Laundering, Anti-Terrorism Financing and Proceeds of Unlawful Activities Act 2001.

24. NON – CONTRAVENTION OF *SHARIAH* PRINCIPLES

The proposed utilisation of the Facility is for financing halal or *Shariah* permissible activities only.

25. MISCELLANEOUS

a) The Customer shall open and/or maintain a deposit account with the Bank. Upon opening and/or maintaining the deposit account, the Customer is encouraged to register as an AgroNet/AgroNetBiz user and to activate the Customer's access to the AgroNet/AgroNetBiz online financial services.

b) All other conditions which shall include but shall not be limited to all debts, agreements, approvals, undertakings, default clauses or otherwise such other conditions that are usual in a facility transaction of the kind similar to or as contemplated in this Letter of Offer Cum Agreement shall remain unchanged and shall be deemed as included in the security documents.

c) In the event that the fund of the Facility is not the Bank's Fund, the approval of the Facility is subject to the fund's provision. In the absence of such provision, this offer shall be either withdrawn or if the Customer agrees, the Bank will re-offer the Facility under the Bank's Fund.

d) The disbursement of the Facility shall be credited into the Customer's deposit account or transmitted to the vendor/supplier or third party (as the case may be) and therefore, the Customer hereby irrevocably consents the Bank to make payment to any third party or the relevant vendor/supplier and the disbursement thereof shall be regarded as part of the Facility (if applicable).

e) The Customer shall inform the Bank of any occurrence of an event of default or any other occurrence which might adversely affect the Customer or Security Party's liability to fully perform its obligations under this Letter of Offer Cum Agreement.

f) **Service of Legal Process**

(i) The service of any Legal Process may be given by prepaid registered or ordinary post sent to the respective address of service of the parties hereto and such Legal Process shall be deemed to have been duly served after the expiration of seven (7) days from the date it is posted.

(ii) No change in the address of service howsoever brought about shall be effective or binding on either party unless that party has given to the other actual notice of the change of address of service.

(iii) The term "Legal Process" shall include Notice of Demands, pleadings, all forms of originating processes, interlocutory applications of whatever nature, affidavits, orders and such documents other than the aforesaid which are required to be served under the Rules of Court, Companies Act 2016 and any laws applicable in Malaysia.

g) **Defects in Powers**

Where any moneys are owing and secured by this Letter of Offer Cum Agreement or any Facility Document, they shall be deemed to be so owing and so secured notwithstanding any defect, informality or insufficiency in the

powers of the Customer or any Security Party (if applicable) or in the exercise thereof which might be a defence as between the Customer and the Bank.

h) Time

Time shall be of the essence in relation to all the provision of this Letter of Offer Cum Agreement.

i) Assignment

This Letter of Offer Cum Agreement and the Security Documents (if any) shall be binding upon, and inure to the benefit of the Parties and their respective successors and assigns except that the Customer may not without the consent of the Bank in writing (which consent may be given or withheld by the Bank at its discretion) assign its rights or obligation under the terms of this Agreement or under any of the Security Documents.

The Bank may, having satisfied itself that the assignment, and/or transfer is not to the detriment of the Customer, assign the whole or any part of its rights or obligations under this Agreement or under any of the Security Documents by notice in writing to the Customer.

j) Bank Negara Malaysia (BNM) Guidelines

Notwithstanding any of the provisions of this Letter Offer Cum Agreement to the contrary, the Bank reserves the right to vary or impose additional terms and conditions from time to time and at any time by giving twenty one (21) days prior notice to the Customer to comply with any guidelines, directives, rules and regulations introduced by BNM or any other authority having jurisdiction over the Bank as well as the policy of the Bank caused by such regulators.

k) Variation of Terms

It is hereby expressly agreed and declared by the Parties that the provisions and terms of this Letter Offer Cum Agreement may at any time and from time to time be varied or amended by the Bank giving a twenty-one(21)days' written notice to the Customer and thereupon this Letter Offer Cum Agreement shall be deemed to have been amended or varied accordingly and shall be read and construed as if such amendments and variations have been incorporated in and had formed part of this Letter Offer Cum Agreement.

l) Successors Bound

This Letter Offer Cum Agreement shall be binding on the Parties hereto as well as their respective heirs, assigns, personal representatives, administrator, executors, successors in title and permitted assigns as the case may be.

m) Relaxation Etc

i. No relaxation, forbearance, delay or indulgence by the Bank in enforcing any of the terms and conditions of this Letter of Offer Cum Agreement nor the granting of time by the Bank to the Customer shall prejudice, affect or restrict the rights and powers of the Bank hereunder nor shall any waiver of any

breach thereof operate as a waiver of any subsequent breach thereof.

ii. Neither this Letter of Offer Cum Agreement nor any provision hereof may be amended, changed, modified, varied, waived, discharged, or terminated orally SAVE only by a statement in writing signed by the Bank and then any such amendment change, modification, waiver, discharge or termination shall be effective only in the specific instance and for the specific purpose for which it was given.

n) Satisfaction

Notwithstanding anything to the contrary contained herein it is hereby agreed that on the satisfaction by payment or otherwise of the whole Indebtedness under the Facility Document all the provisions herein contained shall cease to be of any effect but without pre ju dice to the Bank' s rights and remedies against the Customer in respect of any antecedent claim or breach of covenant.

o) General Indemnity against A Third Party's Claim etc. Due to Customer's Own Act or Omission

(i) The Customer shall, at all times hereafter indemnify and keep the Bank indemnified against all losses, damages, claims, proceedings, demands, actions, penalties and expenses (including but not limited to legal costs on a full indemnity) that may be made or brought at any time by any party or parties against the Bank for any act or default under or for any breach or any provisions of any agreement by the Customer or that may be incurred by the Bank as a result thereof, except where such loss, damage, claim, proceeding, demand, action, penalty or expense is caused by any fraud, misconduct or negligence of the Bank or breach of specific terms and conditions of this Letter of Offer Cum Agreement by the Bank.

(ii) If such losses, damages, claims, proceedings, demands, actions, penalties and expenses (including but not limited to legal costs on a full indemnity) are made against the Bank, the Customer shall, upon demand through a prior notice of seven (7) days being made by the Bank, pay to the Bank all amounts so paid or suffered or incurred by the Bank.

p) Reconstruction of Parties

The security (if applicable), liabilities and obligations created by this Letter of Offer Cum Agreement shall continue to be valid and binding for all purpose whatsoever notwithstanding any change by amalgamate, on reconstruction or otherwise which may be made in the constitution of the Bank or the Customer, or both and it is expressly declared that no change whatsoever in relation to or affecting the Bank or the Customer, or both, shall in any way affect the security (if applicable), liabilities and obligations created hereunder in relation to any transaction whatsoever whether past present or future.

q) Waiver

Knowledge or acquiescence by the Bank of or in any breach of any of the conditions or covenants herein contained shall not operate as or be deemed

to be waived of such acquiescence. The Bank shall be entitled to exercise its rights under this Letter of Offer Cum Agreement and to require strict performance by the Customer of the terms and conditions herein.

r) **Modification and Indulgence**

The Bank may at any time without affecting the Security(ies) (if applicable) herein created:-

(i) vary or amend the terms of the Facility or this Letter of Offer Cum Agreement or any of the Security Documents (if applicable) or any indemnity or any guarantee by giving a twenty (21) days' written notice to the Customer;

(ii) grant to the Customer or Security Party (if applicable) any indulgence;

(iii) renew any bills or negotiable securities (if applicable);

(iv) deal with, exchange, release or modify or abstain from perfecting or enforcing any securities or guarantees or rights it may now or at any time hereafter or from time to time have from or against the Customer or any of the guarantors or any Security Party (if applicable) or any other person;

(v) compound with the Customer or any of the guarantors or any Security Party (if applicable) or any other person;

(vi) have recourse to all or any remedies or means for recovering the moneys hereby secured which may be available for such purpose at such time and in such order and manner as the Bank may think fit;

(vii) enforce or fail to or refuse to or omit to or neglect to enforce this Letter of Offer Cum Agreement or the guarantee or any of the Security Documents (if any) or any of the terms thereof or any of the Bank's rights or remedies thereunder;

(viii) make or continue to make available to the Customer the Facility or permit any utilisation thereof by the Customer;

(xi) grant or continue to grant or renew any facility or other banking facility or facilities to the Customer or any of the guarantors (if applicable) and/or vary any existing facilities granted to the Customer or any of the guarantors (if applicable) by way of (but not limited to) substitution, addition, increase or reduction whatsoever or otherwise;

(x) no relaxation, forbearance, delay or indulgence by the Bank in enforcing any of the terms and conditions of this Letter of Offer Cum Agreement nor the granting of time by the Bank to the Customer shall prejudice, affect or restrict the rights and powers of the Bank hereunder nor shall any waiver of any breach thereof operate as a waiver of any subsequent breach thereof.

[redacted]